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Case Number: 26NNCV01400 Hearing Date: July 31, 2026 Dept: A

TENTATIVE RULING

JULY 3, 2026

DEMURRER; MOTION TO STRIKE

Los

Angeles Superior Court Case # 26NNCV01400

MP: Defendant

Alex Mendelis

RP: Plaintiff

13 Splinters dba Stellar Custom Wood

NOTICE:

The Court is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is required and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice may be given

either by email at or by telephone at (818) 260-8412.

ALLEGATIONS:

13 Splinters dba

Stellar Custom Wood ("Plaintiff") allege that in September 2020, Alex Mendelis ("Defendant") sold all assets of AVM Woodworking, Inc. ("AVM"), including its goodwill, customer relationships, subcontractor network, confidential information, and reputation in the Los Angeles cabinetry market to Plaintiff's predecessors, Enno and Adrienne Roellgen ("Buyers"). (Compl., ¶¶2, 16-17.) As part of the sale, they entered into an Asset Purchase Agreement ("APA"), which included a noncompetition and non-solicitation covenant that the sellers and their affiliates would not directly or indirectly carry-on similar business within 100 miles of the present location of the business ("Covenant"), which applied through September 2030. (Id., ¶¶20, 22.) The APA allocated \$150,000 of the purchase price specifically as consideration for the Covenant and Defendant was also paid a separate \$550,000 consideration for goodwill. (Id., ¶¶3, 21.) Following closing, the Buyers continued operating the business and Plaintiff subsequently took over operations as the APA's successor-in-interest. (Id., ¶¶24-25.)

Plaintiff contends

that after Mr. Roellgen died on May 13, 2023, Defendant reentered the business under the guise of assisting in operations and continuity, gained access to Plaintiff's pricing models, bidding strategies, and confidential information, and influenced pricing and bidding decisions, resulting in overpriced bids so that Plaintiff lost projects and its reputation was harmed. (Id., ¶¶27-29.) Plaintiff paid Defendant approximately \$77,780.21 during the transitional period. (Id., ¶30.)

After concluding his

transactional involvement, Defendant began competing in the same cabinetry market in violation of the Covenant, such as by acting as a partner/consultant/facilitatory for a competing cabinet shop within the restricted radius. (Id., ¶¶33-34.)

Plaintiff alleges Defendant solicited Plaintiffs' employees and subcontractors, interfered with Plaintiff's customer relationships, and caused substantial damage to its goodwill and revenue. (Id., ¶¶36-42.)

The Complaint, filed February 26, 2026, alleges causes of action for: (1) Breach of Contract; (2) Breach of Covenant Not to Compete; (3) Breach of Non-Solicitation Covenant; (4) Breach of Implied Covenant of Good Faith and Fair Dealing; (5) Intentional Interference with Contractual Relations; (6) Intentional Interference with Prospective Economic Advantage; (7) Unfair Competition; and (8) Declaratory and Injunctive Relief.

MOTIONS ON CALENDAR:

On April 10, 2026, Defendant filed a Demurrer and Motion to Strike portions of the Complaint. On July 6, 2026, Plaintiff filed oppositions. On July 13, 2026, Defendant filed replies.

LEGAL STANDARD

A.

Demurrer

The grounds for a demurrer must appear on the face of the pleading or from judicially noticeable matters. (C.C.P. § 430.30(a); *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.) A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) The only issue involved in a demurrer hearing is whether the complaint states a cause of action. (*Id.*)

A demurrer assumes the truth of all factual, material allegations properly pled in the challenged pleading. (*Blank, supra*, 39 Cal. 3d at p. 318.) No matter how unlikely or improbable, the plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604.) But this does not include contentions; deductions; conclusions of fact or law alleged in the complaint; facts impossible in law; or allegations contrary to facts of which a court may take judicial notice. (*Blank, supra*, 39 Cal. 3d at 318.)

Pursuant to

C.C.P. §§ 430.10(e) and (f), the party against whom a complaint has been filed may demur to the pleading on the grounds that the pleading does not state facts sufficient to constitute a cause of action, or that the pleading is uncertain, ambiguous and/or unintelligible. It is an abuse of discretion to sustain a demurrer without leave to amend if there is a reasonable probability that the defect can be cured by amendment. (*Schifando v. City of Los Angeles* (2003) 31 Cal. 4th 1074, 1082.)

B. Motion to Strike

Motions to

strike are used to reach defects or objections to pleadings that are not challengeable by demurrer, such as words, phrases, and prayers for damages. (See C.C.P. §§ 435, 436, and 437.) The proper procedure to attack false allegations in a pleading is a motion to strike. (C.C.P. § 436(a).) In granting a motion to strike made under C.C.P. § 435, “[t]he court may, upon a motion made pursuant to Section 435 [notice of motion to strike whole or part of complaint], or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.” (C.C.P. § 436(a).) Irrelevant matters include immaterial allegations that are not essential to the claim or those not pertinent to or supported by an otherwise sufficient claim. (C.C.P. § 431.10.)

The court may

also “[s]trike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (C.C.P. § 436(b).)

MEET AND CONFER:

C.C.P. §§

430.41(a) and 435.5(a) require that the moving party meet and confer with the party who filed the pleading that is subject to the demurrer and/or motion to strike. Upon review, the Court finds the meet and confer requirements were met. (See Eghbali Decl., ¶¶4-8.)

DEMURRER ANALYSIS:

Defendant demurs to

the First through Eighth Causes of Action in the Complaint, arguing they fail to allege sufficient facts.

A.

First Cause of Action

for Breach of Contract – Sustained with Leave to Amend

The elements for breach of contract are:

“(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

In the First Cause of

Action, Plaintiff alleges that in September 2020, Defendant and Buyers entered into the written APA for the sale of AVM's assets, including goodwill and restrictive covenants. (Compl.,

¶49.) The APA included a covenant prohibiting Defendant from competing, soliciting employees or subcontractors, or soliciting/selling to customers of the business within a 100-mile radius for ten consecutive years. (Id.,

¶50.) After closing, Buyers operated the business and Plaintiff succeeded to its rights and obligations and successor-in-interest to the APA and covenant.

(Id., ¶52.) Plaintiff alleges Defendant breached the APA by carrying on a similar business through participating and assisting competing cabinet shops within the restricted radius and period, soliciting Plaintiff's employees and subcontractors, and soliciting/selling to Plaintiff's customers and diverting projects. (Id., ¶¶54-56.) Plaintiff allegedly suffered lost revenues, lost profits, unpaid balances, increased costs, and loss of goodwill and business value. (Id., ¶57.)

Defendant demurs to

the entirety of the Complaint, arguing that Plaintiff has not identified any assignment, assumption agreement, merger, succession event, transfer instrument, or operative facts in support of paragraph 52 showing that Buyer's rights were transferred to Plaintiff. In addition to paragraph 52, Plaintiff alleges that it obtained successor-in-interest status by subsequently taking over operations and becoming the successor-in-interest to the APA and Defendant acknowledged the succession by performing transitional work for Plaintiff, invoicing Plaintiff,

initiating legal proceedings for APA obligations against Plaintiff, etc. (Compl., ¶¶24-26.) Plaintiff also cites to paragraph 27 of the

APA in its opposition brief regarding how the APA is binding on successors. However, the Complaint does not attach the APA as an exhibit, thus paragraph 27's language was not incorporated into or alleged in the Complaint. Furthermore, the nature of the succession was not adequately alleged. Currently the Complaint does not provide further details on the transfer, fails to attach the APA or allege paragraph 27 into the amended pleading.

Next, Defendant

argues the APA's terms are inadequately pleaded, such as the critical terms, assignment language, definition of protected customers/subcontractors, and scope limitations. Plaintiff has alleged the APA's non-complete clause in the Complaint. (Compl., ¶20.) Thus, the material term of the APA is alleged. However, as noted below, Plaintiff has alleged the Second Cause of Action for Breach of Covenant Not to Compete. It is unclear if this cause of action was intended to be a breach of the non-compete covenant only (which may be duplicative), or was intended to include additional breaches of the APA. Plaintiff should clarify this upon amendment.

Finally, Defendant

argues that Plaintiff has alleged performance, breach, and damages in a conclusory manner. Plaintiff alleges that it and its predecessors performed all obligations under the APA or were excused from performance, Defendant breached the APA's non-compete covenant, and Plaintiff suffered the aforementioned damages. (Compl., ¶¶53-57.) The Complaint alleges that the APA allocated \$150,000 of the purchase price as separate consideration for the covenant (id., ¶¶21, 51), but Plaintiff has not alleged further facts regarding whether Plaintiff and/or its predecessor paid the full purchase price and this separate consideration, or whether there were any other obligations Plaintiff or its predecessor were obligated to perform under the APA.

The demurrer to the

First Cause of Action is sustained with leave to amend.

A.

Second and Third Causes

of Action for Breach of Covenant

Not to Compete and Third Cause

of Action for Breach of

Non-Solicitation Covenant – Sustained

with Leave to Amend

Business &

Professions Code, § 16601 states in relevant part:

Any person who sells the goodwill of a business, or any owner of a business entity selling or otherwise disposing of all of his or her ownership interest in the business entity, or any owner of a business entity that sells (a) all or substantially all of its operating assets together with the goodwill of the business entity, (b) all or substantially all of the operating assets of a division or a subsidiary of the business entity together with the goodwill of that division or subsidiary, or (c) all of the ownership interest of any subsidiary, may agree with the buyer to refrain from carrying on a similar business within a specified geographic area in which the business so sold, or that of the business entity, division, or subsidiary has been carried on, so long as the buyer, or any person deriving title to the goodwill or ownership interest from the buyer, carries on a like business therein.

In *Alliant Ins.*

Services, Inc. v. Gaddy (2008) 159 Cal.App.4th 1292, the defendant agreed to a noncompetition covenant, which expressly defined the restricted territory as to 58 counties in the State of California.

The Court of Appeal did find this noncompetition covenant valid, reasoning:

Thus, California's public policy affirms a person's right to pursue the lawful occupation of his or her choice. [...] An exception exists for a noncompetition covenant in connection with the sale of a business, pursuant to section 16601 [...].

The reason for this exception to the general rule against noncompetition covenants is to prevent the seller from depriving the buyer of the full value of its acquisition, including the sold company's goodwill. [Citation.] "It was the policy of the [common] law, within reasonable limits,

to protect the purchaser in the enjoyment of the good will which he had purchased and paid for.” [Citation.] The sold business's goodwill is the “ ‘ expectation of ... that patronage which has become an asset of the business.” ’ ” [Citation.] The geographic scope of a noncompetition covenant must be limited to the area where the sold company carried on business because “[o]therwise, a seller could be barred from engaging in its business in places where it poses little threat of undercutting the company it sold to the buyer.” [Citation.]

(Alliant Ins. Services, Inc. v. Gaddy (2008) 159 Cal.App.4th 1292, 1300–1301 [internal quotation marks and citations omitted].)

With respect to the non-solicitation covenant, the Court of Appeal stated that the covenant is permissible if it prohibits the seller from soliciting the seller's clients but is not permissible if it prohibits the seller from soliciting the buyer's clients because: (1) the rationale for enforcing non-solicitation covenants—i.e., they prevent the seller from depriving the buyer of the full value of its acquisition, including the sold company's goodwill—does not extend to the buyer's other customers; and (2) the seller presumably knows who its own clients are but does not necessarily know who the buyer's other clients are. (Id. at 1306; see also Strategix, Ltd. v. Infocrossing West, Inc. (2006) 142 Cal.App.4th 1068, 1073 [“On the other hand, nonsolicitation covenants barring the seller from soliciting all employees and customers of the buyer, even those who were not former employees or customers of the sold business, extend their anticompetitive reach beyond ‘the business so sold.’ (§ 16601.) They do more than ensure the buyer receives the full value of the business it bought, whose goodwill does not include ‘the patronage of the general public.’”].)

In the Second Cause of Action, Plaintiff alleges that the covenant falls within the sale-of-business exception in section 16600 et seq., because Defendant sold all or substantially all of AVM's goodwill and received consideration. (Compl., ¶61.) Plaintiff contends Defendant breached the covenant by carrying out a similar cabinetry and millwork business within the restricted radius and period, soliciting Plaintiff's employees, subcontractors, vendors, and customers. (Id., ¶¶62-63.)

In the Third Cause of Action, Plaintiff alleges that the covenant prohibited Defendant from soliciting/hiring the business's employees and assisting anyone other than the buyer for ten years after closing, but Defendant breached this term by contacting Plaintiff's employees and subcontractors in an attempt to redirect them to competing cabinet shops. (Id., ¶¶66-68.)

Defendant argues that the Second and Third Cause of Action are duplicative as the First Cause of Action, restrictive covenants are void in California, and Plaintiff has not alleged sufficient facts showing this claim falls within the exception.

As alleged in the Complaint, the non-compete covenant states: "Seller, seller's spouse and their respective Affiliates, individually, shall not directly or indirectly carry on a similar business within a[sic] 100 miles of the present location of the Business (being sold), solicit or hire any current employees of the Business, solicit or sell to any current customers of the Business, or assist anyone else except the Buyer to do so within these limits, or have any interest, directly or indirectly, in such business, except as an employee of the Buyer, for a period of 10 consecutive years from Closing." (Compl., ¶20.)

Defendant argues that the covenant is overbroad in scope and does not fit within the narrow exception of section 16601, wherein a seller may agree with the buyer to refrain from "carrying on a similar business" within a specific geographic area. Defendant argues that the non-compete covenant seeks to prohibit him from not only directly or indirectly carrying on a similar business, but also soliciting/hiring current employees, soliciting/selling to any current customers, or assisting anyone else except the buyer, and having any direct or indirect interest in any such business. While the scope of the non-solicitation covenant may be potentially overbroad, a part of it still falls within the scope of the exception and may be enforced. Furthermore, Plaintiff alleges that Defendant undertook a similar cabinetry and millwork business, which would be a potential breach of the covenant. Taking the allegations as true at the pleading stage, the Court finds that Plaintiff has alleged sufficient facts as to breach.

With respect to

whether these causes of action are duplicative to the First Cause of Action, it is unclear if the First Cause of Action is premised solely on the APA's non-compete covenant or additional terms.

If it appears, upon amendment, that these causes of action are in fact duplicative, then Defendant may demur on this basis again.

For the reasons

discussed above, the Court will allow Plaintiff to amend the causes of action to allege additional facts regarding its successor-in-interest status.

The demurrer to the

Second and Third Causes of Action are sustained with leave to amend.

B.

Fourth

Cause of Action for Breach of Implied Covenant of Good Faith and Fair Dealing – Sustained with Leave to Amend

The implied

covenant of good faith and fair dealing “imposes upon each party the obligation to do everything that the contract presupposes they will do to accomplish its purpose.” (Andrews v. Mobile Aire Estates (2005) 125 Cal.App.4th 578, 589.)

In the Fourth Cause

of Action, Plaintiff alleges that Defendant acted in bad faith by exploiting Plaintiff's vulnerabilities following Enno Roellgen's death, gaining access to confidential information, mispricing bids, interfering with operations, soliciting employees, and competing and soliciting in violation of the covenant. (Compl., ¶72.) Plaintiff contends Defendant's conduct deprived Plaintiff of the APA's benefit, thereby causing it diminished value of goodwill, lost contract, lost profits, and reputational harm. (Id., ¶¶73-74.)

Defendant argues that

Plaintiff has not alleged sufficient facts regarding an underlying contract between the parties, again relying on the successor-in-interest arguments. For the reasons discussed above, the demurrer is sustained with leave to amend on this basis.

Assuming

successor-in-interest allegations are provided, Defendant argues that this cause of action is duplicative of the prior causes of action. A breach of the implied covenant is a distinct cause of action and is "limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated in the contract." (Racine & Laramie, Ltd. v. Department of Parks & Recreation (1992) 11 Cal.App.4th 1026, 1032.) Plaintiff has alleged Defendant's actions that go beyond competing with Plaintiff's business or soliciting its employees/customers by alleging interference with Plaintiff's business, mispriced bids, etc. Such allegations that appear to create new obligations not contemplated in the contract are impermissible to the extent Plaintiff seeks to plead these as a breach of implied covenant cause of action. At this stage, it is unclear if Plaintiff is alleging separate breaches of express contract terms.

The demurrer to the Fourth Cause of Action is sustained with leave to amend.

C.
Fifth Cause of Action for Intentional Interference with Contractual Relations – Overruled

"The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage."

(Pac Gas & Electric Co. v. Bear Stearns & Co. (1990) 50 Cal.3d 1118, 1126.) "Where there is no existing, enforceable contract, only a claim for interference with prospective advantage may be pleaded." (PMC, Inc. v. Saban Entertainment, Inc. (1996) 45 Cal.App.4th 579, 601, disapproved on other grounds by Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134.)

In the Fifth Cause of Action, Plaintiff alleges that it had existing contracts with designer Jeff Lewis, general contractors including JAG Construction on specific

projects, and contracts or ongoing engagements with its employees and subcontractors. (Compl., ¶76.) Plaintiff contends Defendant knew of the contracts based on his prior AVM ownership and subsequent involvement in Plaintiff's business, but he internally interfered with the contracts by diverting projects, soliciting labor, and coordinating with competing shops to take over Plaintiff's contracted work. (Id., ¶¶77-78.) Plaintiff asserts Defendant caused actual disruption of Plaintiff's contracts, including exclusion from the Jeff Lewis project and nonpayment of at least \$21,700, lost work based on his guidance in at least \$75,295, and impairment of labor and subcontractor relationships. (Id., ¶79.)

Defendant argues

that Plaintiff has not identified the specific contracts at issue between Plaintiff and Jeff Lewis/JAG/other employee and subcontractors, Defendant's knowledge of the contracts, or Defendant's intentional acts. However, the Complaint alleges that Plaintiff had existing contracts with Jeff Lewis and JAG for specific projects. Furthermore, Plaintiff adequately alleges that Defendant knew of the contracts based on his prior ownership of the business and during his transitional work with Plaintiff following Mr. Roellgen's death. Sufficient facts are also alleged regarding Defendant's actions that disrupted the contractual relationships, such as by diverting projects and coordinating with competing shops to take over Plaintiff's contracted work.

To the extent

Defendant argues that the allegations regarding contracts or "ongoing" engagements with employees and subcontractors are not fixed contractual rights versus at-will or indefinite relationships, so long as the Complaint alleges a valid basis for this claim, it may still be overruled. A demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy. (Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal. App. 4th 1028, 1047.)

The demurrer to the Fifth Cause of Action is overruled.

D.

Sixth

Cause of Action for Intentional Interference with Prospective Economic Advantage – Sustained with Leave to Amend

The elements of the tort of intentional interference with prospective economic advantage are: “(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant.” (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1153.) “In addition, the plaintiff must allege that the defendant's conduct was wrongful by some measure beyond the fact of the interference itself. [Citation.] In this context, an act is independently wrongful if it is unlawful, that is, if it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard. [Citation.] The conduct must be independently actionable. The act of interference with prospective economic advantage is not tortious in and of itself, but requires pleading that a defendant has engaged in an act that was independently wrongful in order to distinguish lawful competitive behavior from tortious interference.” (Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc. (2006) 138 Cal.App.4th 1215, 1220 [internal quotation marks and citations omitted].)

In the Sixth Cause of Action, Plaintiff alleges it had existing or ongoing economic relationships with designers, general contractors, subcontractors, architects, and homeowners that carried a probability of future economic benefit, including ongoing work from Jeff Lewis and JAG. (Compl., ¶83.) Plaintiff contends Defendant knew of these expectancies and intentionally targeted them after gaining access to Plaintiff's operations and confidential information, and Defendant's conduct disrupted Plaintiff's economic relationships and expectancies by diverting work and impairing Plaintiff's capacity to bid and perform. (Id., ¶¶84, 86.) Plaintiff alleges Defendant's conduct was independently wrongful because it breached the APA, violated Business & Professions Code, §§ 16601 and 17200, and constituted intentional interference with contractual relations and misuse of confidential information. (Id., ¶85.)

For the reasons stated above, Plaintiff has not alleged sufficient facts regarding Defendant's intentional acts that were independently wrongful. Plaintiff has also not alleged what confidential information was at issue and how it was

used. Finally, Plaintiff's allegations regarding economic relationships leading to the probability of future economic benefits are lacking, as Plaintiff has not alleged what contemplated projects/contracts were at stake, what relationships Plaintiff had with various designers, general contractors, subcontractors, architects, and homeowners, and whether Plaintiff had potential other projects from Jeff Lewis and/or JAG.

The demurrer to the Sixth Cause of Action is sustained with leave to amend.

E.

Seventh

Cause of Action for Unfair Competition –
Sustained with Leave to Amend

The purpose of the Unfair Competition Law (“UCL”) is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services. (Buller v. Sutter Health (2008) 160 Cal.App.4th 981, 986.) Section 17200 defines unfair competition to mean and include “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by [the false advertising law (§ 17500 et seq.).]” (Id.) Since section 17200 is written in the disjunctive, a business act or practice need only meet one of the three criteria, i.e., unlawful, unfair, or fraudulent, to be considered unfair competition under the UCL. (Id.)

In order to plead a claim under Business and Professions Code § 17200, there must be allegations demonstrating that the Defendants engaged in an unlawful, unfair, or fraudulent business act or practice. (Paulus v. Bob Lynch Ford, Inc. (2006) 139 Cal.App.4th 659, 676-77.) Further, to plead this statutory claim, the pleadings must state with reasonable particularity the facts supporting the statutory elements of the violation. (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.)

A violation of the unfair prong of section 17200 involves an examination of the impact of the business practice on its alleged victim balanced against the reasons, justifications and motives of the alleged wrongdoer. (Searle v. Wyndham Int'l (2002) 102 Cal.App.4th 1327, 1334.) An unfair business practice occurs when it

offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers. (Id.) In general, the unfairness prong has been used to enjoin deceptive or sharp practices. (Id.) However, the unfairness prong does not give the Courts a general license to review the fairness of contracts. (Id.) Plaintiff alleges Defendant engaged in unfair business practices by exploiting Plaintiff's vulnerability, appropriating goodwill sold for value, and competing in a manner contrary to the equitable norms governing sale-of-business covenants. (Compl., ¶91.) A review of the pleadings reveals no allegations that identify a particular business practice that offends established public policy or that is immoral, unethical, oppressive, unscrupulous, or substantially injurious to consumers.

A violation of the unlawful prong includes anything that can properly be called a business practice and that at the same time is forbidden by law. (Paulus v. Bob Lynch Ford, Inc. (2006) 139 Cal. App. 4th 659, 676-677.) Plaintiff alleges that Defendant engaged in unlawful business practices by violating the covenant and APA, the sale-of-business exception under Business & Professions Code, § 16601, and the common law prohibitions against interference. (Compl., ¶90.) As discussed above, there may be a potential claim that Defendant violated Business & Professions Code, § 16601 for some of his alleged conduct. However, as this is a statutory claim, the allegations must be pled with specificity. The Court will allow Plaintiff leave to amend to allege what conduct Defendant specifically engaged in that resulted in a violation of the identified law, regulation, or statute.

A violation of the fraudulent prong of section 17200 can be shown with allegations that the fraudulent practice was likely to deceive members of the public. (Schnall v. Hertz Corp. (2000) 78 Cal.App.4th 1144, 1167.) The "fraud" prong "is unlike common law fraud or deception. A violation can be shown even if no one was actually deceived, relied upon the fraudulent practice, or sustained any damage. Instead, it is only necessary to show that members of the public are likely to be deceived." (Buller v. Sutter Health (2008) 160 Cal.App.4th 981, 986.) A review of the pleading reveals no allegations that identify a particular business practice that was a fraudulent practice likely to deceive the public. At most, Plaintiff alleges that Defendant engaged in fraudulent business practices by misleading market participants into believing he remained associated with Plaintiff, while concealing his competition and diversion of work. (Compl., ¶92.) However, the allegations are not specific and fail to allege facts showing that his fraudulent practice was likely to deceive

members of the public.

The demurrer to the
Seventh Cause of Action is sustained with leave to amend.

F.

Eighth Cause

of Action for Declaratory and Injunctive Relief – Sustained with Leave to Amend

In the Eighth Cause of
Action, Plaintiff alleges that an actual controversy exists between the parties
and their respective rights and obligations under the APA and Covenant, wherein
Defendant contends the Covenant is unenforceable and Plaintiff contends it is
valid and enforceable under section 16601.

(Compl., ¶¶96-97.) Plaintiff

seeks a declaration confirming enforceability of the Covenant for the remainder
of the term and seeks injunctive relief restraining Defendant from carrying on
a similar business, soliciting labor or customers, or assisting competing
shops. (Id., ¶ 98-99.)

Defendant argues that the
Eighth Cause of Action is defective because it improperly combines declaratory
and injunctive relief when injunctive relief is a remedy. However, “[i]f the complaint states a cause of action under
any theory, regardless of the title under which the factual basis for relief is
stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19
Cal.4th 26, 38.) Thus, regardless of the Eight Cause of
Action's label, so long as it alleges a valid claim for Declaratory Relief, it
is appropriate.

To the extent Plaintiff

seeks to bring a claim for injunctive relief, no such claim exists. Under California law, injunctive relief is a remedy and not in
itself a cause of
action. (Shell Oil Co. v. Richter (1942) 52 Cal.App.2d 164, 168.) Further, a temporary restraining order and
preliminary injunction are not remedies that can be sought in a judgment
because they are provisional remedies issued to maintain the status quo pending
a determination on the merits of the action.

A cause of

action for declaratory relief is a remedy created by C.C.P. § 1060 and it is
pleaded if it: (1) sets forth facts showing the existence of an actual

controversy relating to the legal rights and duties of the respective parties and (2) requests that the rights and duties be adjudged. (City of Tiburon v. Northwestern Pac. R.R. Co. (1970) 4 Cal.App.3d 160, 170; see C.C.P. § 1060 [identifying the remedy of declaratory relief].) If these requirements are met, the Court must declare the rights of the parties whether or not the facts alleged establish that the plaintiff is entitled to a favorable declaration. (Id.) Declaratory relief is a broad remedy, and the rule that a complaint is to be liberally construed is particularly applicable to one for declaratory relief. (Id.)

Defendant argues

that Plaintiff lacks the standing to bring a declaratory relief claim based on the inadequate successor-in-interest allegations. For the reasons discussed above, Plaintiff should allege additional facts supporting these allegations.

The demurrer to the Eighth Cause of Action is sustained with leave to amend.

MOTION TO STRIKE ANALYSIS:

Defendant moves

to strike: (1) punitive damages in paragraphs 81, 88, and 101(c); and (2) allegations regarding restitution, disgorgement, and/or injunctive relief in paragraphs 94, 99, 100, 101(b), and 101(f), and the Eighth Cause of Action.

A.

Punitive
Damages

A complaint including a request for punitive damages must include allegations showing that the plaintiff is entitled to an award of punitive damages. (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) A claim for punitive damages cannot be pleaded generally and allegations that a defendant acted "with oppression, fraud and malice" toward plaintiff are insufficient legal conclusions to show that the plaintiff is entitled to an award of punitive damages. (Brousseau v. Jarrett (1977) 73 Cal.App.3d 864, 872.) Specific factual allegations are required to support a claim for punitive damages. (Id.)

Civil Code § 3294 authorizes a plaintiff

to obtain an award of punitive damages when there is clear and convincing evidence that the defendant engaged in malice, oppression, or fraud. Section 3294(c) defines the terms in the following manner:

(1)

"Malice" means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2)

"Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.

(3)

"Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code, §
3294(c).)

Plaintiff seeks

punitive damages in connection with the Fifth and Sixth Causes of Action. Plaintiff alleges Defendant's conduct was willful, malicious, oppressive, and fraudulent within the meaning of Civil Code, § 3294. (Compl., ¶¶81, 88.)

The Court has

reviewed the Complaint and finds that allegations for Intentional Interference with Contractual Relations and Intentional Interference with Prospective Economic Advantage fail to plead malicious, oppressive, and/or fraudulent conduct. The allegations are general and conclusory regarding malice, oppression, and fraud. As such, the motion to strike allegations for punitive damages is granted with leave to amend.

B.

Nonrestitutionary
Disgorgement

Plaintiff seeks

restitution, disgorgement, and injunctive relief in connection with the Seventh and Eighth Causes of Action. (Compl., ¶¶94, 99, 100.)

In

light of the ruling on the demurrer, the motion to strike the allegations in the Eighth Cause of Action is moot.

C.

Eighth

Cause of Action

In

light of the ruling on the demurrer, the motion to strike the allegations in the Eighth Cause of Action is moot.

RULING:

In the event a party

requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Defendant Alex

Mendelis's Demurer and Motion to Strike came on regularly for hearing on July 31, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

THE

DEMURRER IS SUSTAINED WITH 30 DAYS' LEAVE TO AMEND AS TO THE FIRST, SECOND, THIRD, FOURTH, SIXTH, SEVENTH, AND EIGHTH CAUSES OF ACTION. THE DEMURRER IS OVERRULED AS TO THE FIFTH CAUSE OF ACTION.

ThE

MOTION TO STRIKE IS GRANTED WITH 30 DAYS' LEAVE TO AMEND REGARDING PUNITIVE
DAMAGES ALLEGATIONS. THE REMAINDER OF
THE MOTION IS MOOT IN LIGHT OF THE RULING ON THE DEMURRER.

DEFENDANT

TO GIVE NOTICE.

IT IS SO ORDERED.